

Market Scoring Template

Score the market before you shop houses. Markets move, so pull the data yourself, the week you're deciding, and trust nothing older than a season.

Market / town: _____ **State:** _____ **Date scored:** _____

Anchor (park, forest, lake, base, college, hospital): _____ **Drive time from town:** _____ min

1. The Power Triangle

Every winning rural market shares three traits. All three legs must hold.

- ☐ **Nature-based demand.** National parks, state forests, lakes, ski slopes, fall foliage, trails, small-town festivals. Demand powered by nature, rest, and adventure, not conferences.
- ☐ **Low acquisition cost.** A quality 4 bed / 3 bath with 2,000+ square feet and good bones, mostly \$250K-\$350K. Minimum spec: 3 bed / 2 bath, 1,500 square feet, never smaller.
- ☐ **Little to no competition.** Fewer than 100 listings total, and only a handful of truly great ones.

2. Demand vs. Supply (the NPS Arbitrage)

Every year the National Park Service publishes a Visitor Spending Effects report for each park. Free and public. Take the park's annual lodging spend and divide it by \$70K, what a well-run rural STR should gross in a year. The result is roughly how many quality listings that demand can feed. Compare it to active listings from a market-data tool like AirDNA. (No NPS report, as with Forest Service land like Red River Gorge? Use agency visit estimates plus state or county tourism spending instead. The method is the point, not the source.)

Line	Your market	Worked example: Mammoth Cave, KY (mid-2026 pull, rounded)
Annual visits		About 747,000 visits (2024)
Total visitor spending		\$73 million
Lodging spend		\$28.6 million
Lodging spend ÷ \$70K = listings demand can feed		Roughly 400 quality listings
Active listings in the market		90-150, depending on whose count you trust (Cave City, Park City, Brownsville, Horse Cave)

Line	Your market	Worked example: Mammoth Cave, KY (mid-2026 pull, rounded)
Verdict		A market feeding less than half its capacity. Undersupplied.

- ☐ **Visitor-to-listing screen.** A million-plus visitors a year and fewer than a hundred places to stay, or the same proportions at a smaller scale. Visitors _____ ÷ listings _____ = _____
- ☐ **Supply gap confirmed.** Far fewer listings than the demand can feed means undersupply. At or above that number, you're playing musical chairs.

3. Where on the Saturation Curve?

Mark the stage. Judge by supply relative to the demand math above, not raw listing counts; the counts below describe a typical small rural market and are proportions, not laws. Markets can also stall at any stage after a regulation change or an economic shock.

- ☐ **Stage 1: Undiscovered (Tier 4).** Few STR listings; demand exists but runs on word of mouth. Signals: unpredictable occupancy, reviews slow to accumulate. Mostly locals dabbling. Demands the most due diligence; 2-3x returns are possible if you get it right.
- ☐ **Stage 2: Emerging (Tier 3, the sweet spot).** A growing base of listings, still well below what demand can feed (in a small market, maybe 40-100). Signals: occupancy improving year over year (trending from 45% toward 55%+), ADR stable or rising, more guests arriving via search. Smart money moving in, maybe two or three new investor-owned properties a quarter. Buy here.
- ☐ **Stage 3: Discovered (Tier 2).** Supply has multiplied toward capacity. Travel blogs, podcasts, social media; institutional money arriving; prices rising fast. Occupancy still strong (55-65%+) but plateauing. Upside lower: 15-25% cash-on-cash.
- ☐ **Stage 4: Saturated (Tier 1).** More listings than the demand math can feed. Occupancy stalling or falling below 50%, ADR dropping to hold bookings, price wars, a proliferation of "value" listings. Upside limited: 5-10% returns, with operational excellence required just to stay profitable.

Three metrics that place you on the curve:

Metric	Your reading	How to read it
Active listings growth rate	_____ % per year	20%+ a year: accelerating. 5-10%: steady maturation. Flat or declining: saturation or pullback.
ADR trend over 12 months	rising / flat / falling	Rising despite more listings: demand outpacing supply, good sign. Flat or falling despite more listings: warning sign.

Metric	Your reading	How to read it
Occupancy trend (median, across similar listings)	rising / stable / falling	Stable or rising: healthy. Declining: oversupply biting or seasonality worsening. Both bad.

4. The Market Scoring Matrix

Rate each line 1-5 (1 = poor, 5 = excellent), multiply by the weight, add it up. Minimum target: 3.5 out of 5.0.

Criterion	Weight	Score (1-5)	Weighted	Scoring anchors
Tourism Demand	30%			5 = major park (3M+ annual visitors) or true destination. 4 = strong park or lake (1-3M) with growing interest. 3 = emerging destination (500K-1M), room to grow. 2 = weak demand, seasonal only. 1 = no meaningful tourism.
Acquisition Cost	25%			5 = under \$250K for a quality 4 bed / 3 bath. 4 = \$250K-\$300K, strong numbers. 3 = \$300K-\$350K, workable but tighter. 2 = \$350K-\$450K, near-perfect execution required. 1 = over \$450K, not Emerging Rural economics.
Competition Level	20%			5 = under 30 active listings. 4 = 30-60, space to differentiate. 3 = 60-100, moderately

Criterion	Weight	Score (1–5)	Weighted	Scoring anchors
				competitive. 2 = 100–150, crowded but survivable. 1 = over 150, likely saturated.
Regulatory Environment	15%			5 = STRs warmly welcomed, minimal regulations. 4 = allowed with light requirements. 3 = allowed with some restrictions (license, days-per-year limits). 2 = heavily regulated or restricted. 1 = banned or effectively banned.
Seasonality	10%			5 = multiple seasons or year-round demand. 4 = two strong seasons, decent shoulders. 3 = one dominant season, weak shoulders. 2 = one season only, brutal dead months. 1 = a 3–4 month peak, then silence.
Total	100%		____ / 5.0	

Decision rule: below 3.0, pass. Between 3.0 and 3.5, dig deeper. At 3.5 or above, you’ve found something worth serious investigation.

Book example (New River Gorge, WV, scored the way it looked when we were buying):

Tourism $4 \times 30\% = 1.2$. Acquisition $4 \times 25\% = 1.0$. Competition $4 \times 20\% = 0.8$. Regulations $5 \times 15\% = 0.75$. Seasonality $4 \times 10\% = 0.4$. **Total: 4.15 out of 5.0.** One caution: competition moves fastest. A jump past 150 listings drags that line to 0.2 and the total to 3.55. Score from this month’s listing count, never from a book.

5. Revenue Check (underwrite conservative)

- ☐ **Trailing-twelve-month comps only**, meaning what similar listings actually earned over the past twelve months.
- ☐ **Haircut any revenue-tool projection by 10-15%.**
- ☐ **Plan around the 25th percentile**, what the weaker quarter of comparable listings actually earn. 25th-percentile revenue: \$_____ per year
- ☐ **Pencils to \$70K a year or better at 60-70% occupancy.** If it only works at 80%+ occupancy, skip it. You're buying stress.

6. Price-to-Revenue Ratio

Prices drift, so anchor to the ratio, not the sticker.

Median quality 4 bed / 3 bath price: \$_____ vs. expected annual gross: \$_____

Book benchmark: a \$170K cabin that grossed \$72K its first year. When a year of bookings covers a big slice of the purchase price, you've found the right tier, whatever the sticker says.

7. Regulation Check

- ☐ STRs allowed or even welcomed. Minimal red tape.
- ☐ No complex licensing, day limits, or owner-occupancy requirements.
- ☐ The city or county is embracing STRs, not restricting them.

8. Seasonality

Seasons with real demand (circle all that apply): summer / fall foliage / winter / spring / year-round

- ☐ Multiple seasons of demand, or one long peak with decent shoulders. One frantic month is not a market.

9. Resilience Flags

Look for: multiple seasons of demand; park infrastructure investment (new trails, visitor centers, expanded promotion); local business growth (new cafes, festivals, breweries, outdoor shops, restaurants); STR-friendly regulations; population stability or growth (check the census data).

Avoid: one-trick-pony towns (summer only, dead nine months); overregulated counties; major chain hotels breaking ground (Marriott or IHG building means saturation is near); declining population; single-employer towns.

Verdict: Matrix score _____ / 5.0 · Saturation stage _____ · Pass / Dig deeper / Investigate seriously